

## Crepes & Waffles

Crepes & Waffles, founded in Bogotá, Colombia, was known across Latin America and Spain for its great food and atmosphere at affordable prices. Running over 110 restaurants and 75 ice cream shops, the company had more than 150 million U.S. dollars in total annual sales (Ordoñez 2020), and profits were strong—with a net profit margin of 8% on Colombian operations in 2019 (Buitrago Moreno et al. 2023). And if all that wasn't enough, the business was also achieving its social goals of uplifting women in poverty and sourcing ingredients locally.

Crepes & Waffles (C&W) was founded in 1978 in a Bogotá garage, when business school classmates turned spouses Beatriz Fernández and Eduardo Macía decided to open a French-style creperie. By 1980, they had their first storefront, featuring a wooden menu listing the crepes, waffles, and ice cream available. Over time, the menu would expand to

include eggs, salads, and soups (Figure 1).



**Figure 1. Crepes & Waffles, selling breakfast items and ice cream**

Jeffrey Isaac Greenberg 11+ / Alamy Stock Photo

Customers were drawn to C&W's mission to provide stable employment opportunities and an improved quality of life for single mothers, who were offered jobs, health care, and housing aid. When Fernández realized many of their employees could not read or write, she dedicated herself to

helping them build those skills (Fernández 2018). C&W also supported and directly funded social-responsibility initiatives, such as public schools in impoverished communities, and they consistently implemented eco-friendly business practices. (UNDP 2024)

Fernández said during a 2018 interview, “Business was not only about following the market and competition forces. It also encompassed the relationship among all of us participating in the project, with each other and with the environment. So we adopted a totally different business approach.”

### The Crisis

The COVID-19 pandemic significantly impacted the restaurant industry in 2020, affecting even established leaders like C&W. The pandemic forced the closure of all

physical dining locations in many countries for several months, posing a severe threat to C&W's business model, which thrived on in-person dining.

The challenge was twofold: the loss of dine-in revenue posed an immediate and significant financial threat, and the change in customers' habits and routines threatened long-term brand loyalty. In response, C&W turned to e-commerce and delivery services, maintaining operations in a limited capacity and providing a crucial revenue stream during a period of significant disruption.

A notable aspect of C&W's adaptation strategy was the introduction of two new product lines that not only addressed the crisis but also anticipated possible post-lockdown consumer preferences. As families were forced to dine at home, C&W launched a delivery service with a proprietary fleet of motorcycles, promising quality food delivered promptly, safely, and conveniently to homes. (Crepes & Waffles 2024) Additionally, they launched a range of packaged sauces and waffle mixes, allowing customers to recreate their favorite dishes at home, which offered a semblance of normalcy and comfort during uncertain times. The success of these prepackaged lines hinged on customers' ability to replicate the taste of C&W in a home setting.

Developing these new lines required considerable investments. There were big financial risks involved. Ensuring that the quality and taste of the home-delivered meals, packaged sauces, and waffle mixes matched the in-restaurant experience was crucial for maintaining customer satisfaction, brand integrity, and brand loyalty. Robust marketing efforts emphasized the convenience and quality of the at-home cooking experience, and its distribution through traditional delivery channels and on-demand delivery apps ensured easy access to the products. This approach expanded C&W's reach and reinforced its brand presence during a period when physical interactions were severely limited.

Despite these efforts, the financial impact of the pandemic on C&W was substantial. The initial investments for product development and packaging combined with the potential for limited short-term profitability posed significant challenges. While the new product line generated valuable revenue, it could not fully compensate for the loss of in-restaurant sales. Three years after the pandemic, despite the return of in-person dining, C&W was not able to offset the investments required to set up and launch the delivery and prepackaged lines. Although net profit margin had rebounded to 6.6% in 2021 (compared to 8% in 2019), it dropped in subsequent years. (Figure 2 and Table 1).

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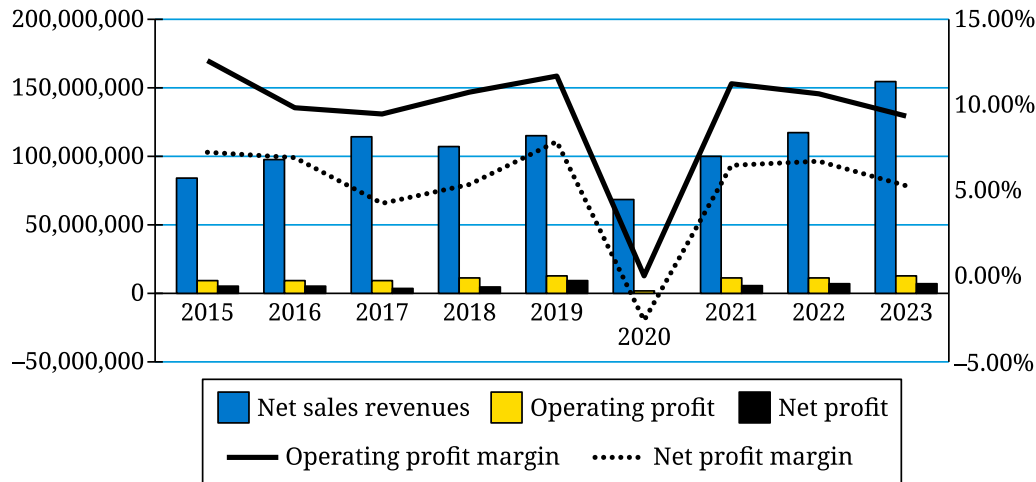


Figure 2. Crepes & Waffles revenues and profits, 2015–2023

Table 1. C&W's Annual Income Statements and Profits in Colombia, 2019–2023

| Income statement        | 2019              | 2020              | 2021              | 2022              | 2023              |
|-------------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| Sales revenues (net)    | 116,210,253       | 68,536,422        | 101,681,487       | 118,756,480       | 156,985,871       |
| Cost of sales           | 48,180,653        | 29,336,247        | 41,602,864        | 48,589,077        | 65,194,048        |
| <b>Gross profit</b>     | <b>68,029,600</b> | <b>39,200,175</b> | <b>60,078,623</b> | <b>70,167,403</b> | <b>91,791,824</b> |
| Sales expenses          | 45,062,557        | 33,615,676        | 40,521,226        | 47,823,330        | 64,166,612        |
| Admin. expenses         | 7,124,809         | 5,563,811         | 6,159,759         | 7,194,144         | 9,652,692         |
| Other income            | 629,234           | 3,914,044         | 796,534           | 930,292           | 1,248,213         |
| Other expenses          | 2,918,828         | 3,787,587         | 2,796,785         | 3,266,438         | 4,382,720         |
| <b>Operating profit</b> | <b>13,552,640</b> | <b>147,145</b>    | <b>11,397,388</b> | <b>12,813,782</b> | <b>14,838,013</b> |
| Financial income        | 114,739           | 446,387           | 379,804           | 1,241,088         | 1,665,221         |
| Financial expenses      | 1,403,418         | 1,456,002         | 1,685,004         | 1,967,960         | 2,640,497         |
| <b>Pre-tax profit</b>   | <b>12,263,961</b> | <b>-862,471</b>   | <b>10,092,188</b> | <b>12,086,911</b> | <b>13,862,738</b> |
| Income taxes            | 2,994,202         | 827,214           | 3,413,213         | 3,986,381         | 5,348,698         |
| <b>Net profit</b>       | <b>9,269,759</b>  | <b>-1,689,685</b> | <b>6,678,975</b>  | <b>8,100,530</b>  | <b>8,514,040</b>  |

C&W's Colombian operation, in US Dollars (USD) computed using average COP to USD exchange rate for each fiscal year (CEIC n.d.), 2019–2021 financial statements reported by Buitrago et al. (2023), 2021–2022 revenues and profits reported by the Superintendencia de Sociedades (2023), and 2023 revenues and profits reported by EMIS (2025).

During the pandemic, many other businesses also started e-commerce and delivery lines to cope with the emergency, saturating the market with numerous competing value propositions, many of which were more streamlined and cost-effective than C&W's. This situation was further aggravated by the lack of barriers to entry; it was relatively easy and inexpensive for competitors to also set up a new food delivery app or online business at the time, meaning that C&W didn't gain as much advantage from these services. Although revenues were at a historic maximum by

#### Topic 4.4 Case

2023, high operating costs and expenses were eroding the bottom line, and C&W struggled to attain pre-pandemic margins (EMIS 2025).

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